



LINKZEN TECHNOLOGY

AND RESEARCH CENTRE

PRD : Micro Finance & Loan Management Software

Document Control & Overview

- Product Name: Micro Finance & Loan Management Software
- Developer/Vendor: LinkZen Technology
- Tagline: Empowering Bharat. Enabling Financial Inclusion.
- Target Audience: Non-Banking Financial Companies (NBFCs), Microfinance Institutions (MFIs), Housing Finance Companies (CHLs), SHG Federations, Cooperative Societies, and allied Financial Institutions.

Mission Statement: To provide a comprehensive, 100% secure, and cloud-based software solution designed to streamline Indian microfinance operations, drive financial inclusion, and ensure complete regulatory compliance.

Product Architecture & Value Proposition

2.1 Core Value Props

- Accessibility: Cloud-based architecture, enabling anytime, anywhere access.
- Security: End-to-end data security and encryption.
- Compliance: Built-in RBI & NBFC regulatory frameworks.
- Usability: Local language support for field-level ease of use.

2.2 Key Organizational Benefits

- Operational Efficiency: Automating field and back-office tasks.
- Risk Mitigation: Reducing delinquency, default risk, and Non-Performing Assets (NPAs).
- Revenue Optimization: Increasing collection efficiency and profitability.
- Trust & Transparency: Ensuring clear audit trails and customer satisfaction.

3. Functional Requirements by Module (Line-by-Line)

Module 01: Client & Group Management

- Individual / Group Clients: Support onboarding and profiling for both individual borrowers and group-based lending models.
- SHG, JLG, FIG Management: Dedicated workflows to manage Self-Help Groups (SHGs), Joint Liability Groups (JLGs), and Farmer Interest Groups (FIGs).
- KYC & Document Management: Digital collection, verification, and centralized storage of Know Your Customer (KYC) documents.
- Client Onboarding: Streamlined digital registration process for incoming clients.

Module 02: Loan Product Management

- Multiple Loan Products: Ability to configure and run various loan products simultaneously (e.g., business, agricultural, emergency loans).
- Flexible Loan Schemes: Support customizable interest rates, tenures, and custom repayment frequencies.
- Interest & Charges Setup: Granular configuration of processing fees, upfront charges, and standard interest calculation methods.
- Loan Cycle Configuration: Track and set parameters across consecutive loan cycles (e.g., increasing limits for repeat borrowers).

Module 03: Loan Application & Approval

- Digital Loan Application: Paperless application capture via web and mobile interfaces.
- Eligibility & Scoring: Automated credit assessment based on internal parameters and historical trends.
- Multi-level Approval: Configurable hierarchical authorization matrix for loan approvals.
- Sanction Letter Generation: Automated generation of customized digital sanction letters upon approval.

Module 04: Disbursement Management

- Disbursement Tracking: Real-time visibility into pending, active, and completed loan disbursements.
- Bank / Cash Disbursement: Dual support for physical cash handouts or direct bank transfers.
- Disbursement Schedule: Automated generation of timelines and distribution dates for multi-tranche or single-tranche loans.
- Cheque / NEFT / IMPS: Direct system integration with electronic payment modes for seamless fund transfer.

Module 05: Repayment & Collection

- EMI / Installment Tracking: Real-time ledger displaying past, present, and upcoming Equated Monthly Installments (EMIs).
- Collection Entry (Cash/Bank): Instant logging of repayments received via physical cash or digital banking methods.
- Overdue & Collections: Real-time flagging of missed payments and automated queue generation for collection teams.
- Daily Collection Sheet: Automated daily summary report of expected vs. actual collections for field agents.

Module 06: Savings Management

- Compulsory & Voluntary Savings: Capabilities to configure and track mandated savings accounts alongside flexible voluntary savings.
- Recurring Deposit (RD): Support for periodic, fixed-amount deposit tracking for member accounts.
- Savings Ledger: Detailed transaction histories for all savings, deposits, and withdrawal accounts.
- Interest Calculation: Automated compounding and posting of interest payouts to member savings accounts.

Module 07: SHG / JLG Management

- SHG Formation & Tracking: Systems to digitally group individuals into registered SHGs/JLGs and track group health.
- Meeting & Attendance: Tools to schedule mandatory group meetings and log physical/digital attendance.
- Internal Lending Tracking: Track intra-group micro-loans sourced from collective group savings.
- SHG Grading: Metric-driven performance scoring of groups based on financial discipline, attendance, and repayment history.

Module 08: Multiple Loan Accounts

- Multiple Loans per Client: Capability to assign, track, and manage concurrent active loans for a single user.
- Loan Top-up / Enhance: Seamless integration to increase existing principal credit amounts based on positive repayment behavior.
- Loan Restructure: Tools to redesign repayment timelines and terms for distressed borrowers.
- Loan Transfer: Feature to move or reassign loan portfolios between branches, regions, or field agents.

Module 09: Interest & Charges Management

- Reducing / Flat Interest: System support for both flat-rate interest calculations and reducing-balance interest models.
- Processing & Other Charges: Dynamic rule-engine to compute fixed or percentage-based processing, legal, and operational fees.
- Penal Interest: Automated calculation and imposition of penalty charges on overdue amounts.
- Rebate & Concessions: Capability to apply discretionary discounts, interest waivers, or prompt-repayment rebates.

Module 10: NPA & Collection Management

- NPA Classification (0-180+): Automated bucket categorization of non-performing assets based on Days Past Due (DPD) from 0 to 180+ days.
- Collection Follow-up: Task assignment and interaction log tracking for recovery agents.
- Rescheduling / Restructure: Strategic options to alter payment frequencies, offer moratoria, or extend loan terms.
- Write-off & Recovery: Standard operating workflows for handling bad debts, provisioning, and tracking post-write-off recovery collections.

Module 11: Meetings & Attendance

- Meeting Scheduling: Group/Center meeting planner featuring recurring date configurations.
- Attendance Tracking: Logging mechanism for field officers to record attendance at group/center levels.
- Meeting Expenses: Financial module to log overheads and miscellaneous expenses incurred during localized center meetings.
- Minutes & Resolutions: Digital documentation tool to record minutes and structural group decisions made during center operations.

Module 12: Field Staff Management

- Field Staff & Center Management: Dashboard to map field officers to specific geographical centers and branches.
- Daily Work Plan: Automated task, route, and center-visit schedules generated for field staff each morning.
- Visit & Call Report: Activity logging system detailing client interactions, house visits, and collection calls.
- GPS Tracking (Mobile App): Real-time geo-location tagging and tracking of field staff during operational hours to ensure accountability.

Module 13: Mobile App for Field Staff

- Client Onboarding: Mobile optimization enabling remote field officers to register and onboard clients instantly.
- Collection Entry: Real-time collection logging directly at the client's doorstep with immediate ledger updates.
- Offline / Online Sync: Dual operational state allowing field officers to work in remote, zero-connectivity zones and sync data when internet is restored.
- Photo & Document Upload: Built-in camera feature within the app to scan, crop, and upload physical document copies and client photos on-site.

Module 14: Document Management

- Document Upload: Centralized digital repository supporting cross-format document storage linked directly to client/loan profiles.
- E-KYC & e-Sign: Paperless integration with biometric/Aadhaar-based e-KYC and digital signature verification protocols.
- Document Expiry Alerts: Proactive notifications flagging expiring identity proofs or legal licenses.
- Secure Storage: Multi-layer, encrypted cloud storage architectures protecting sensitive documentation from unauthorized leaks.

Module 15: Alerts & Notifications

- EMI Due Reminders (SMS): Automated text messages broadcasted to clients prior to installment due dates.
- Overdue Alerts: Push notifications and automated text sequences deployed instantly upon payment default.
- Document Expiry Alerts: Dual notifications routed to both staff members and clients regarding validity deadlines.
- Meeting & Collection Alerts: Pre-scheduled automated updates keeping borrowers and field staff synced on upcoming center meetings.

Module 16: Accounting & GL Integration

- Auto GL Posting: Automated real-time posting of financial transactions (disbursements, repayments, penalties) directly to the General Ledger.
- Chart of Accounts: Comprehensive, hierarchical financial structure catering to microfinance operational models.
- Journal Vouchers: Manual adjustment, debit, and credit capability via a structured accounting workflow.
- Trial Balance: Dynamic, real-time balance sheets and trial balances accessible for immediate corporate evaluation.

Module 17: Bank & Cash Management

- Bank Account Management: Centralized hub tracking corporate bank accounts, balances, and operational deposits.
- Cash Book: Live digital register tracking daily cash inflows, field collection handovers, and cash-vault changes.
- Bank Reconciliation: Automated matching engines aligning internal system ledger data with official bank statements.
- Cheque Management: Tracking system monitoring physical check clearances, bounces, and post-dated deposit timelines.

Module 18: Reports & Dashboards

- Portfolio at a Glance: Live analytics dashboards representing total outstanding portfolio (POS), PAR (Portfolio at Risk), and overall client count.
- Branch / Center Wise Reports: Segmented operational filtering showcasing efficiency metrics sorted by individual branches or localized centers.
- Collection Efficiency: Daily, weekly, and monthly statistical tracking comparing targeted vs actual cash/digital collections.
- Custom Reports & MIS: Ad-hoc reporting engine enabling executives to build, schedule, and export tailored Management Information System (MIS) datasets.

Module 19: RBI & NBFC Compliance

- RBI Guidelines Compliant: Automatic enforcement of loan limits, household income thresholds, and interest rate caps mandated by the Reserve Bank of India.
- NBFC Reporting: Standardized, exportable reporting matrices catering to statutory NBFC submissions.
- CID Report: Automated compilation of Credit Information Companies (CICs/CIDs) data structures.
- Audit Ready Reports: One-click compliance extraction designed to simplify third-party regulatory audits.

Module 20: Audit Trail & Data Security

- User Activity Log: Immutable, timestamped system logs detailing actions taken by every user across the application.
- Role-based Access: Granular permission structures restricting data visibility and features depending on employee designations (Maker-Checker model).
- Data Backup & Restore: Routine, automated server backups paired with disaster recovery response strategies.
- End-to-End Encryption: Application-wide standard data encryption protocols securing information both in transit and at rest.

Module 21: Loan Reschedule & Restructure

- Reschedule Loans: Administrative workflow to modify upcoming repayment schedules due to changing client circumstances.
- Restructure Loans: Comprehensive systemic alterations to fundamental loan contracts, extending periods or cutting rates.
- Moratorium / Holiday: Facility to inject interest-free or payment-free operational windows during times of disaster or macro distress.
- Interest Recalculation: Dynamic financial calculators that modify interest obligations automatically post-restructuring.

Module 22: Top-Up & Enhancement

- Loan Top-up: Workflow to offer additional principal credit amounts directly stacked onto highly compliant existing loan portfolios.
- Limit Enhancement: Credit-worthiness verification module that boosts an eligible borrower's maximum allowable line of credit.
- Top-up History: Dedicated logs displaying past incremental credit allocations per user profile.
- Eligibility Check: Auto-filtering module checking borrower repayment regularity and current credit strain before recommending limit enhancements.

Module 23: Credit Bureau Reporting

- CIBIL / Equifax Integration: Direct system linkups to leading Indian credit reporting bureaus.
- Credit Score Check: Real-time API calls fetching credit scores during initial client screening workflows.
- Reporting to Bureau: Standardized monthly data formatting and automatic extraction routines to update credit history databases.
- Reduce Default Risk: Algorithmic red-flagging of highly leveraged or bad-credit profiles across multiple external institutions.

Module 24: Flexible Workflow

- Custom Approval Flow: User-friendly administrative canvas to drag-and-drop unique approval routings tailored by loan product type.
- Business Rules Engine: Extensible engine allowing administrators to write custom algorithmic rules without changing core software source codes.
- Branch / Region Hierarchy: Flexible infrastructure configuration allowing the software to morph into multi-tiered corporate structures (Head Office > Zone > Region > Branch > Center).
- Maker-Checker Process: Mandatory operational control mechanism ensuring a separate user creates an entry and a separate, authorized official approves it.

Module 25: Integrations

- SMS Gateway: Direct integration options with bulk SMS service providers for real-time notification dispatches.
- IVR Integration: System hookups to Interactive Voice Response lines for automated telephonic collections and support operations.
- Payment Gateway: Built-in connection layers supporting modern payment tech (UPI, Netbanking, Debit cards) for instant repayments.
- API & Third Party Integration: RESTful open API endpoints enabling integration with external accounting packages, biometric devices, or alternative fintech pipelines.

4. Technical & Non-Functional Specifications

Parameter

System Requirement Detail

Deployment Model

100% Cloud-Based Architecture, accessible anywhere via major browsers.

Mobility Platform

Native/Hybrid Android Mobile Application for Field Staff featuring Offline/Online Synchronization.

Security Standards

End-to-End Data Encryption, Role-Based Access Controls (RBAC), and full compliance tracking.

Language Support

Multi-lingual architecture featuring Local Language Support to handle regional Indian operations.

Scalability

Dynamically elastic backend infrastructure built to scale seamlessly from localized micro-operations to Tier-1 financial organizations.